

Godavari Biorefineries Ltd.

Company Overview:

Godavari Biorefineries Ltd (GBL) is a leading Indian manufacturer of ethanol-based chemicals, operating an integrated bio-refinery with a 570 KLPD ethanol production capacity as of 1QFY25. By FY24, GBL was one of India's largest ethanol producers by volume and the world's largest manufacturer of MPO (3 Methyl-3 Penten-2-One) by installed capacity. The company boasts a diversified product portfolio that includes bio-based chemicals, sugar, various grades of ethanol, and power, which serve a wide range of industries such as food, beverages, pharmaceuticals, flavors and fragrances, power, fuel, personal care, and cosmetics. GBL operates two manufacturing facilities with a total capacity of 18,000 TCD for sugar, 570 KLPD for ethanol, and 600 KLPD for rectified spirits. Utilizing sugarcane as a feedstock, the company produces an array of products, including sugar, ethanol, bio-based chemicals, and power. GBL was also one of the first companies in India to use sugarcane juice and syrup for ethanol production.

Key Highlights:

1. Diversified product portfolio: The company over the years has diversified its manufacturing capabilities and product portfolio, which primarily includes bio-based chemicals, sugar and ethanol. GBL has the widest portfolio of bio-based products in India. Its products find applications in various industries including personal care & cosmetics, flavor and fragrance, food, fuel, paints & coatings and pharmaceutical industries. Ethanol manufactured by the company is sold to oil-marketing companies and also finds its applications in beverage, pharmaceutical and chemical industry. Through the diversified offerings GBL has reduced its dependence on any specific product category.

2. Marquee customer base: The company's products find its applications across various industries and some of GBL's key customers include marquee players such as Hershey India, Hindustan Coca-Cola Beverages, M/s Karnataka Chemical Industries, M/s Techno Waxchem, LANXESS India, IFF Inc, Khushbu Dye Chem, and Privi Specialty Chemicals. The company also has robust international presence with customers spread across the world including Australia, China, Germany, France, Italy Japan, Kenya, Netherlands, Singapore, United Kingdom, United Arab Emirates, Indonesia and United States of America.

3. Robust manufacturing facilities: The company operates 2 manufacturing facilities i) Bagalkot, Karnataka (Sameerwadi) and ii) Ahmednagar, Maharashtra (Sakarwadi) with total capacity of 18,000 TCD for sugar, 570 KLPD for ethanol and 600 KLPD for rectified spirits. Sugarcane feed which is the basic raw material is processed at the Sameerwadi facility for manufacturing of sugar and Ethanol and press mud which is intended to be utilized for the manufacturing of compressed biogas. GBL has the ability to divert syrup/juice to produce different grades of ethanol which helps it create optionality between production of sugar and ethanol. Such flexibility helps the company to adapt to changing market dynamics and modify its product mix to optimize realizations and margins.

Valuation: Godavari Biorefineries is valued at EV/EBITDA of 15.7x and P/E of 146x at the upper price band. The company has a diverse product portfolio, including bio-based chemicals, sugar, ethanol, and power. It operates two manufacturing facilities and holds 18 patents and 53 registrations, underscoring its focus on innovation and global expansion. With a 570 KLPD ethanol biorefinery, a strong client base (Hershey India, Coca-Cola), and exports to over 20 countries, the company is well-positioned in the market.

Issue Details

Date of Opening	23 rd October 2024
Date of Closing	25 th October 2024
Price Band (Rs)	334 – 352
Offer for sale	65,26,983 shares
Fresh Issue (Rs cr)	325
Issue Size (Rs cr)	543 – 555
No. of shares	1,62,57,222 – 1,57,59,938
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	1,726 – 1-801
BRLMs	Equirus Capital, SBI Capital Markets
Registrar	Link Intime Pvt Ltd
Bid Lot	42 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue

	Estimated utilization from net proceeds (Rs cr)
Repayment or pre-payment in full or in part of outstanding borrowings availed by the company	240.0
General Corporate Purposes [^]	
Total proceeds from fresh issue	325.0

[^] To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the gross proceeds.

Shareholding Pattern

Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,40,00,110	81.1
Public & Others	79,42,913	18.9
Total	4,19,43,023	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,24,00,110	62.7
Public & Others	1,92,73,452	37.3
Total	5,16,73,562	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,24,00,110	63.3
Public & Others	1,87,75,868	36.7
Total	5,11,75,978	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22	FY23	FY24	1QFY25
Revenue from operation	1,702.3	2,014.7	1,686.7	522.5
EBITDA	132.9	146.2	133.5	(12.2)
PAT	19.1	19.6	12.3	(26.1)
EBITDA Margin (%)	7.8	7.3	7.9	-
PAT Margin (%)	1.1	1.0	0.7	-
ROE (%)	4.0	4.0	2.5	-
ROCE (%)	8.3	8.5	7.6	-
PE (x)*	77.3	75.2	120.0	-

**Note: Pre-Issue P/E based on upper-price band*

Source: RHP, SSL Research

Risk Factors

- **Procurement risk:** The company sources its raw materials (special denatured spirit, acetic acid, methyl ethyl ketone and molasses) from a limited number of third-party suppliers from various geographies including India, USA and UAE. The company does not have any long-term contracts with suppliers and any failure to procure raw materials from these suppliers may have an adverse impact on manufacturing operations and results of operations.
- **Input price risk:** In FY22/FY23/FY24/1QFY25 the company's cost of materials consumed as a % of revenue stood at 70.8%/69.5%/69.7%/79.6% respectively. Any increases in costs of materials consumed or inability to reasonably offset the costs with the prices of products may have an adverse impact on profitability and result of operations.
- **Customer concentration risk:** The company derived 47.9%/52.2%/57.0%/46.8% of its FY22/FY23/FY24/1QFY25 revenue respectively from its Top 10 customers. Any loss of customers, deterioration of the customers financial condition or a reduction in demand for the company's products may adversely affect business, results of operations, financial condition and cash flows.
- **Product concentration risk:** The company derives a majority of its revenue from the sale of sugar, ethyl acetate, ethanol and MPO. The company's revenues from these products may decline as a result of increased competition, pricing pressures, fluctuations in demand for and/or supply of products which may adversely affect our business, financial condition and results of operations.

Growth Strategy

- Continue to diversify product offerings and improve operational efficiency.
- Implement additional measures for improving feedstock security and increasing value derived from the feedstock.
- Increase wallet share from existing customers and further diversify the customer base.
- Reduction of borrowings and leverage.
- Continued focus on implementation of sustainable practices and strengthening control over inputs.

Revenue Mix – Product wise

Particulars	FY22		FY23		FY24		1QFY25	
	Rs cr	% Of Revenue	Rs cr	% Of Revenue	Rs cr	% Of Revenue	Rs cr	% Of Revenue
Sugar	517.7	30.4	677.8	33.6	563.7	33.4	220.5	42.2
Bio-based Chemicals	647.1	38.0	651.8	32.4	505.5	30.0	146.0	27.9
Distillery	490.6	28.8	631.9	31.4	561.7	33.3	136.4	26.1
Cogeneration	36.3	2.1	42.9	2.1	42.8	2.5	13.9	2.7
Unallocated	10.6	0.6	10.3	0.5	12.9	0.8	5.7	1.1
Total	1,702.3	100.0	2,014.7	100.0	1,686.7	100.0	522.5	100.0

Source: RHP, SSL Research

Revenue Mix – Geographical split

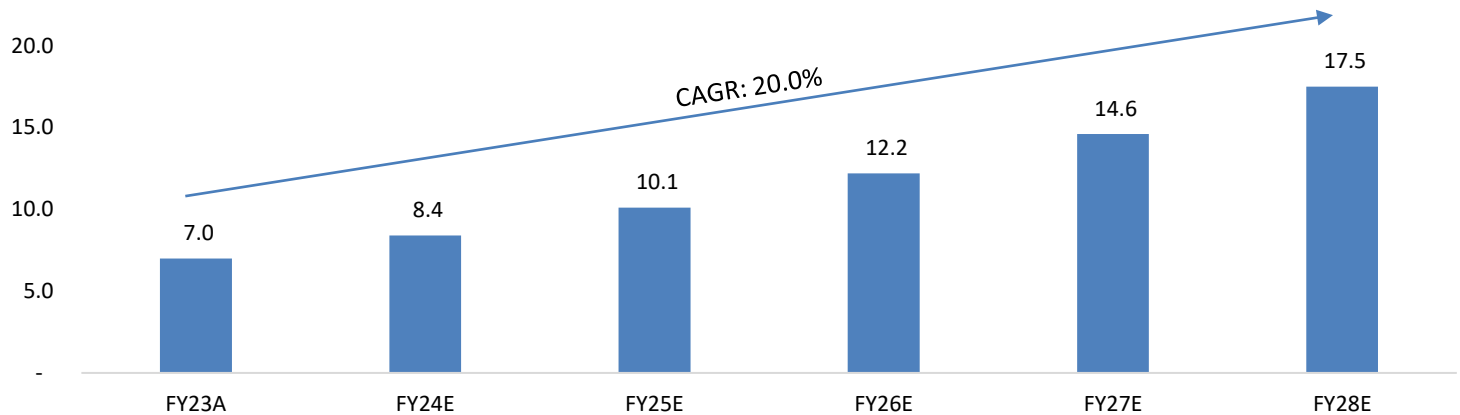
Particulars	FY22		FY23		FY24		1QFY25	
	Rs cr	% of Revenue	Rs cr	% of Revenue	Rs cr	% of Revenue	Rs cr	% of Revenue
India	1,314.0	77.2	1,612.2	80.0	1,405.8	83.3	442.9	84.8
UAE	79.2	4.7	92.7	4.6	155.2	9.2	40.2	7.7
Germany	17.4	1.0	39.2	1.9	30.3	1.8	5.9	1.1
China	57.6	3.4	43.0	2.1	28.7	1.7	3.5	0.7
USA	55.6	3.3	95.0	4.7	13.3	0.8	14.2	2.7
Singapore	73.4	4.3	97.4	4.8	9.2	0.5	0.4	0.1
Others	105.0	6.2	35.2	1.7	44.1	2.6	15.5	3.0
Total	1,702.3	100.0	2,014.7	100.0	1,686.7	100.0	522.5	100.0

Source: RHP, SSL Research

Industry Overview

The **Indian Ethanol Market** is projected to grow from USD 7.0 bn in FY23 to USD 17.5 bn by FY28E, exhibiting a CAGR of 20.0% between FY23-FY28E on the back of increasing ethanol use in applications such as fuel additives, disinfectants, and beverages. The Indian government over the past 5 years actively promoted the expansion of ethanol capacity under the National Policy on Biofuels 2018 aiming to reduce the country's reliance on imported crude oil while utilizing surplus sugar stocks for ethanol production, thereby addressing both energy security and agricultural surplus management.

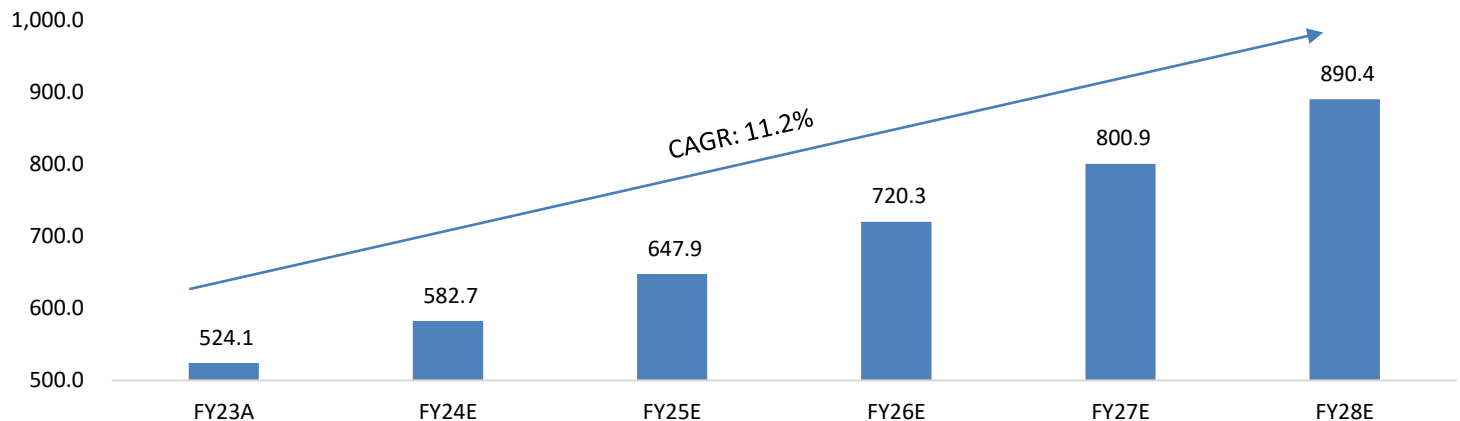
Indian Ethanol Market (USD bn)



Source: RHP, SSL Research

The **Indian Ethyl Acetate Market** stood at USD 524.1 mn in FY23 and is expected to grow at a CAGR of 11.2% between FY23-FY28E to reach USD 890.4 mn by FY28E. India is a net exporter of ethyl acetate, mainly exporting to the Europe, Middle East, and Africa. This positive trade balance gives an advantage to Indian players in exploring high-end markets such as Europe where more than half the Ethyl Acetate trade takes place.

Indian Ethyl Acetate Market (USD mn)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	1,702	2,015	1,687
YoY growth (%)	-	18.3%	-16.3%
Cost Of Revenues (incl Stock Adj)	1,188	1,384	1,177
Gross Profit	514	631	510
Gross margins (%)	30.2%	31.3%	30.2%
Employee Cost	99	117	118
Other Operating Expenses	282	368	258
EBITDA	133	146	134
EBITDA margins (%)	7.8%	7.3%	7.9%
Other Income	8	8	14
Interest Exp.	60	73	76
Depreciation	48	50	60
PBT	32	32	12
Exceptional item/Extraordinary item	0	0	0
Tax	13	12	0
PAT	19	20	12
PAT margin (%)	1.1%	1.0%	0.7%
EPS	4.6	4.7	2.9

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	666	865	849
Capital WIP	44	8	16
Intangible Assets	0	1	1
Intangible Assets under development	7	9	12
Right of use assets	1	0	0
Other Non-current Assets	37	36	37
Current Assets			
Inventories	652	519	805
Trade receivables	173	202	190
Cash and Bank Balances	47	45	33
Other Current Assets	108	58	49
Total Current Assets	979	824	1,076
Current Liabilities & Provisions			
Trade payables	574	400	630
Other current liabilities	33	88	177
Short-term provisions	4	5	4
Total Current Liabilities	611	493	811
Net Current Assets	368	331	266
Total Assets	1,122	1,250	1,181
Liabilities			
Share Capital	42	42	42
Reserves and Surplus	431	448	459
Total Shareholders Funds	473	489	501
Minority Interest	-	-	-
Total Debt	635	735	654
Long Term Provisions	1	2	2
Lease Liabilities	1	1	1
Other Long-Term Liabilities	1	1	2
Net Deferred Tax Liability	11	22	22
Total Liabilities	1,122	1,250	1,181

Cash flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	45	197	187
Cash flow from Investing Activities	(48)	(214)	(44)
Cash flow from Financing Activities	6	28	(151)
Free Cash Flow	(6)	(20)	131

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets (%)	1.1	1.1	0.6
Return on Capital Employed (%)	8.3	8.5	7.6
Return on Equity (%)	4.0	4.0	2.5
Margin Analysis			
Gross Margin (%)	30.2	31.3	30.2
EBITDA Margin (%)	7.8	7.3	7.9
Net Profit Margin (%)	1.1	1.0	0.7
Short-Term Liquidity			
Current Ratio (x)	1.1	1.1	1.0
Quick Ratio (x)	0.4	0.4	0.2
Avg. Days Sales Outstanding	37	37	41
Avg. Days Inventory Outstanding	140	94	174
Avg. Days Payables	123	72	136
Fixed asset turnover (x)	2.6	2.3	2.0
Debt-service coverage (x)	0.1	0.1	0.1
Long-Term Solvency			
Total Debt / Equity (x)	1.3	1.5	1.3
Interest Coverage Ratio (x)	1.5	1.4	1.2
Valuation Ratios			
EV/EBITDA (x)	15.5	14.8	15.7
P/E (x)	77.3	75.2	120.0
P/B (x)	3.1	3.0	2.9
EV/Sales (x)	1.2	1.1	1.2

Source: RHP, SSL Research

Peer Comparison

Particulars (Rs cr)	Godavari Biorefineries Ltd	Alkyl Amines Chemicals Ltd	Jubilant Ingrevia Ltd	Balrampur Chini Mills Ltd	Dhampur Sugar Mills Ltd
CMP	352.0	2,176.0	731.0	633.0	202.0
Sales	1,686.7	1,440.6	4,135.8	5,594.0	2,646.8
EBITDA	133.5	265.8	456.4	786.0	293.4
Net Profit	12.3	148.9	182.9	534.0	134.5
Mkt Cap.	1,801.4	11,126.0	11,646.0	12,772.0	1,318.0
Enterprise Value	2,097.9	11,097.0	12,306.0	14,778.0	2,279.0
EBITDA Margin (%)	7.9	18.4	11.0	14.1	11.1
Net Margin (%)	0.7	10.3	4.4	9.5	5.1
PE (x)	146.5	74.7	63.7	23.9	9.8
EV/EBITDA (x)	15.7	41.8	27.0	18.8	7.8
RoE (%)	2.5	11.8	6.7	13.8	12.2
RoCE (%)	7.6	16.3	9.2	13.5	11.4
EV/Sales	1.2	7.7	3.0	2.6	0.9

The data is based on FY24 financial data.

For Godavari Biorefineries Limited the Market cap, EV/EBITDA (x), P/E (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 21st October, 2024.

Source: RHP, SSL Research

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SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

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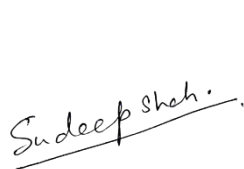
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